

GIFT Nifty is a USD-denominated stock index futures contract traded on the NSE International Exchange (NSE IX) within GIFT City, Gujarat, India. It was launched on 3 July 2023 following the migration of the Singapore Exchange's Nifty derivatives (SGX Nifty) to India under a connectivity arrangement between Singapore Exchange (SGX) and the National Stock Exchange of India (NSE).

Background

The SGX Nifty was launched in September 2000 as an offshore derivatives product that allowed foreign investors to trade futures on the Nifty 50 index outside of India. Amid regulatory concerns and the desire to deepen India's domestic financial ecosystem, SGX and NSE signed a connectivity agreement in July 2022 to transition trading activity from SGX Nifty to NSE IX in GIFT City. The new arrangement was facilitated through the NSE IX-SGX connect mechanism.

Trading

GIFT Nifty is traded on NSE IX, a wholly owned subsidiary of NSE within the GIFT International Financial Services Centre (IFSC). The contracts are settled in USD and are available to both institutional and retail investors globally, subject to applicable regulations.

Trading hours

The exchange operates in two trading sessions to align with both Indian and international time zones:

Session I: 06:30 a.m. to 3:40 p.m. IST

Session II: 4:35 p.m. to 2:45 a.m. IST the next day

Product suite

As of 2024, the following contracts are available for trading:

GIFT Nifty 50 Futures

GIFT Nifty Bank Futures

GIFT Nifty Financial Services Futures

GIFT Nifty IT Futures

Settlement and tax

The contracts are cash-settled in USD and operate under the regulatory framework of the International Financial Services Centres Authority (IFSCA). Investors benefit from a favourable tax environment due to GIFT City's special economic zone (SEZ) status.

Launch and market response

On its first day of trading, GIFT Nifty witnessed a cumulative turnover exceeding USD 1.2 billion. The contracts opened at 19,526.50 points for the Nifty 50 index. Market participants viewed the transition as a move to consolidate liquidity and enhance India's position as a global financial hub.

See also

Nifty 50

National Stock Exchange of India

GIFT City

International Financial Services Centre

Singapore Exchange

Foreign portfolio investment

Derivatives market

Securities and Exchange Board of India

References

External links

Official website